



Benchmarking

Businesses use benchmarking to improve efficiency by comparing their performance with that of other organizations. The goal is to identify and learn from best practices within or outside the industry.

How it works

To improve results, a business may look outside the organization, industry, or country to explore others' levels of performance and identify how they achieve it. Benchmark areas include unit cost, customer ratings, and pay and benefits. The evaluation takes into

account a range of factors, including training, technology platforms, and manufacturing equipment. For example, Formula 1 is often used as a benchmark for teamwork as pit-stop crews have perfected the changing of four tires in less than seven seconds.

The process of benchmarking

There are several stages to benchmarking performance before a company can start to see cost savings and increased efficiency.

